

World in Brief: Oil prices surge; Trump says Saudi nuclear deal is subject to recognising Israel



Photograph: Getty Images

Oil prices surged after Houthi rebels struck two Saudi Arabian oil tankers in the Red Sea and Donald Trump threatened to “bomb and destroy” Iranian bridges and power plants. Brent crude, the international benchmark, rose above \$100 a barrel for the first time since May. The Houthis, Iranian-backed militants in Yemen, said this week they would enforce a “maritime embargo” against Saudi Arabia.

Mr Trump said **America’s** civilian **nuclear** deal with **Saudi Arabia** is “totally subject” to Saudi Arabia recognising the state of Israel by joining the Abraham accords. Mr Trump also said [the agreement](#), which Congress must still review, does not include “enrichment of material”. Since the start of the Gaza war Saudi Arabia has [refused to normalise ties with Israel](#) without a serious path to creating a Palestinian state.

Speaking to *The Economist* in his first extended [interview](#) since SpaceX’s blockbuster IPO, **Elon Musk** made [three bold predictions](#): artificial intelligence will surpass human intelligence within five years; robots in the workplace will render money meaningless within ten; and Britain will descend into civil war within 20. The

world's richest man insisted that AI will control almost everything eventually.

The **European Commission** fined **Google** €890m (\$1bn) for breaching the EU's [Digital Markets Act](#), which intends to help smaller firms compete with digital giants. Regulators said Google gave greater prominence to its own services in search results, compared with those offered by third parties. Google also penalised developers who sent users outside the company's own app store.

More than 1,000 people have died from Ebola since an [outbreak](#) of the virus was declared in **the Democratic Republic of Congo** on May 15th, according to the Africa Centres for Disease Control. At least 2,400 people are infected with the disease, which has been spreading rapidly. It is the fastest outbreak of the disease in history.

Ukraine struck two warehouses belonging to Wildberries, Russia's biggest online retailer, in the Krasnodar and Stavropol regions. Volodymyr Zelensky, Ukraine's president, said he is "bringing the war back home" to Russia by [targeting](#) logistics hubs that supply drones and gear to its military. Meanwhile, Russia said it launched attacks on Ukraine's port infrastructure and ships to disrupt the country's maritime logistics.

French authorities evacuated more than 20,000 residents and tourists as **wildfires** spread near Bordeaux, in the south-west of the country. Around 700 firefighters and four water-bombing planes fought the blaze. Wildfires have also swept through parts of Spain and Italy in recent days. Heatwaves have parched [Europe this summer](#).

Figure of the day: 24,000 yuan (\$3,500), the value of daily subsidies offered to some Chinese fishing boats that loiter in disputed areas near Taiwan. [Read more](#) about China's shadowy maritime militia, which is worryingly active.

US in Brief: A defence bonanza



Photograph: Getty Images

In a big win for Donald Trump, the House narrowly passed a mammoth \$1.15trn **annual defence policy bill**, despite bitter divides over the war in Iran and the president's push for new voting restrictions. The National Defence Authorisation Act includes raising military pay by 5-7% and officially renaming the Pentagon "the Department of War". Republican leaders also voted to attach [the SAVE America Act](#), Mr Trump's election overhaul, to the bill, at the behest of right-wing lawmakers. The bill will now head to the Senate.

House Republicans adopted a framework for Donald Trump's **\$95bn budget reconciliation proposal**—an important step towards passing the filibuster-proof legislation. Some Republican lawmakers initially opposed the resolution, which includes additional funding for the [Iran war](#), intelligence programmes, election security and farmers, over its lack of cuts to offset the extra spending. Both the House and the Senate need to approve the same framework for it to reach the president's desk. Whether it will secure enough support in the Senate is uncertain.

Bipartisan lawmakers expressed concern that America's deal to build a civilian **nuclear** programme in **Saudi Arabia** would [cause an arms race](#) in the Middle East. Chris Murphy, a Democratic senator, argued it will push "Iran closer to a nuclear weapon". John

Kennedy, a Republican senator, shared his “worry about nuclear proliferation”. The agreement, which Congress must review, would reportedly last 30 years and could allow American companies to build a uranium-enrichment facility in the Gulf state.

Jim Jordan, chair of the House Judiciary Committee, formally asked the Department of Justice to launch a criminal investigation into **Jack Smith**. The Republican representative accused the former special counsel of making false statements during a congressional deposition in December. Mr Smith [has been in the administration's crosshairs](#) since he led two criminal cases against the president over election interference and mishandling of classified documents. His lawyers denied the allegations.

The Food and Drug Administration began investigating a new outbreak of **cyclosporiasis**, a parasite that causes a nasty intestinal illness. It has not yet identified the source. Some 4,173 cases have been confirmed in America since May 1st; at least another 7,400 are suspected. Most have been in Michigan and Ohio. Health officials traced the biggest outbreak to iceberg lettuce from a plant owned by Taylor Farms, an American food company, in Mexico.

Anthropic and OpenAI under threat

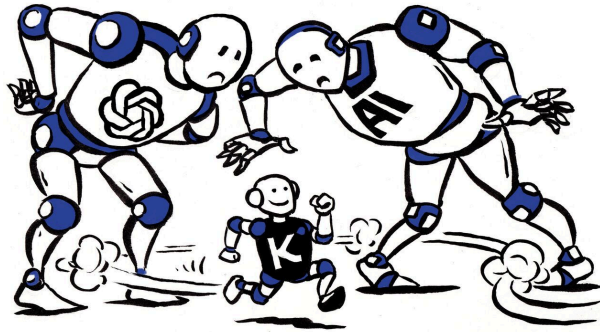


Illustration: David Simons

Chinese AI labs are nipping at the heels of American ones. Last Thursday Moonshot AI, a Chinese startup, released Kimi $\kappa 3$ —a model only slightly less capable than the latest from Anthropic and OpenAI. In the coming days Moonshot will complete a funding round valuing it at \$31.5bn, according to Bloomberg. It reportedly hopes to list in Hong Kong at a valuation of \$50bn.

That would make it a tiddler compared with American rivals, but its commercial threat does not come from its size. Kimi $\kappa 3$, like [many Chinese models](#), is “open weight”: its parameters are available free of charge and can run on any capable server. On Wednesday, Michael Kratsios, the White House’s head of science policy, alleged that Moonshot had developed $\kappa 3$ by covertly imitating Anthropic’s Fable model. American AI giants had already been pushing for restrictions on the use of Chinese open-weight models. Expect the campaign now to step up a gear.

Volodymyr Zelensky's dilemma



Photograph: Getty Images

For days Volodymyr Zelensky has been trying to work out a solution to a problem that is largely of his own making. On July 15th the Ukrainian president ousted Mykhailo Fedorov, [the innovative 35-year-old defence minister](#), after he clashed with senior generals over strategy. The decision sparked some of the biggest protests of his presidency. In a scramble to appease the demonstrators, on July 21st Mr Zelensky [sacked Oleksandr Syrsky](#), Ukraine's top general, and invited Mr Fedorov back into the fold.

It is not clear what job Mr Zelensky has offered Mr Fedorov—or if he will accept it. The spat has damaged the trust between the two men. Mr Zelensky has replaced General Syrsky with [Mykhailo Drapaty](#), who shares Mr Fedorov's view Ukraine's armed forces should expand the role of drones and other high-tech weaponry. But even if Mr Fedorov returns, big disagreements over what Ukraine should prioritise—whizzy kit or artillery and armour—will probably remain.

SpaceX's next big test



Photograph: AP

SpaceX hopes to pull off the 13th test launch of its gigantic, troublesome Starship rocket on Thursday. It aborted an attempt last week. The reusable rocket, the largest thing ever flown, is vital for SpaceX to achieve its goals of driving down the cost of sending stuff (including the company's own satellites) into orbit and one day taking humans to Mars. NASA is waiting for a modified Starship to ferry humans to the Moon.

It is the first big test of Elon Musk's rocket-and-AI conglomerate since its blockbuster initial public offering in June. After briefly [heading skyward](#), and making Mr Musk a trillionaire on paper, the share price has fallen back to Earth. Mr Musk, unsurprisingly, sounds unfazed. This week he gave [his first extended interview](#) since the listing to *The Economist's* editor-in-chief. He insists that AI and robotics will create an era of "amazing abundance" within a decade and make money irrelevant. That is easy for him to say.

The ECB is under pressure to raise rates again



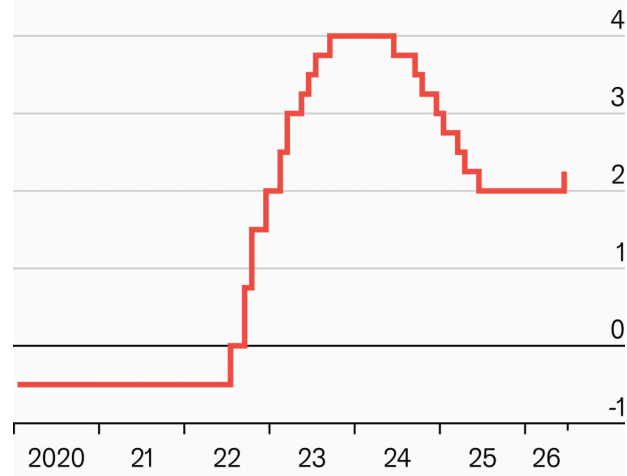
Photograph: Getty Images

For Europe, things were briefly cheerier. Annual euro-zone inflation fell in June, from 3.2% in May to 2.8%. Businesses reported that input costs were rising less, and the truce between Iran and America offered hope that energy prices would stabilise. Then renewed fighting in the Middle East shattered the optimism. On Thursday, the European Central Bank held its main interest rate at 2.25%, but it will probably lift it before long.

The ECB is adamant that its last hike, in June, was necessary to contain the war's impact on inflation. Another may be needed soon. The price of natural gas in Europe has reached €62 (\$71) per megawatt-hour, around double the pre-war price. Meanwhile, the price of Brent crude, the international oil benchmark, is [well above](#) its February level and climbing again. The market does not expect the ECB to raise rates at this meeting, but it has priced in two more 0.25% steps by early next year. For Europe's economic-growth prospects, that spells bad news.

One hump or two?

European central bank, policy interest rate, %



Source: Haver Analytics

Who cares about the Commonwealth Games?



Photograph: Getty Images

The Commonwealth Games—a quadrennial multisport event open to athletes from former constituents of the British empire—almost got stuck in the blocks. Adelaide and Calgary withdrew bids to host the tournament this year, saying it would be too expensive. The Australian state of Victoria was announced as the host in 2022 but pulled out after projected costs ballooned.

Glasgow, which hosted the event 12 years ago, stepped in to run the slimmed-down games, which begin on Thursday. Badminton, cricket, diving, hockey, rugby and table tennis are among the events dropped. Recent tournaments have lacked star power, a trend that is likely to continue in 2026. The new world-record holder for running the mile, Josh Kerr of Scotland, will compete. But Australian sprinting sensation [Gout Gout](#) has snubbed the games in favour of the world under-20s championships, and the country's star swimmer, Kaylee McKeown, is unwell. The event once known as the British Empire Games is in danger of becoming another 20th-century relic.

Daily quiz



Illustration: Sandra Navarro

We will serve you a new question each weekday. On Friday your challenge is to give us all five answers and tell us the theme. Email your responses (and your home city and country) by 1700 BST on Friday to [\[email protected\]](#). We'll pick three winners at random and crown them on Saturday.

Thursday: What is the common British term for a bed surrounded by bars and designed for a baby or small child?

Wednesday: Which Joe Orton play features the corrupt policeman Inspector Truscott?

*Until we are all free, we are none
of us free.*

Emma Lazarus